

9708/31/o/n/19

1-B:

→ Externalities are effects on the “third party” as a result of a transaction, which do not go through the market.

A – Producers’ actions causing a shortage of the good represents the actions of “market forces”

B – When private motorists contribute to traffic congestion, this represents the “existence of external cost”, which is why, key B becomes correct.

C – Differences in ability of consumers, when causes inequality in the distribution of income in the economy, represents a “macro-economic concern”, which does not represent an “externality”

D – When increased demand for the good by the rich raises its price for poorer consumers, this again represents the existence of “market forces of demand and supply”, because of which, this does not represent any “externality”

2-B:

→ Here the social cost is \$200m.

→ The social benefit is \$240m, and the external benefit is \$150m, which means that the private benefit is \$90m($SB-EB=PB$)

A – We cannot deduce whether “external benefit” is greater than “external cost”, because we do not have information of external cost available.

B – This is correct because the “external benefit”(of \$150m) is greater than the “private benefit”(of \$90m).

C – We also do not have information about or information that helps us calculate private costs, therefore, option C becomes incorrect.

D – This is incorrect because this project should take place since SB(of \$240m) are greater than the SC(of \$200m)

3-A:

- The firm should use **less labor** in the production of X (where the marginal product of labor is lower relative to the marginal product of capital) and **more capital** in the production of X since the marginal product of capital is relatively higher.

. Similarly, the firm should use **more labor** in the production of good X where the marginal product of labor is higher relative to the marginal product of capital. This further means that **less capital should be used**.

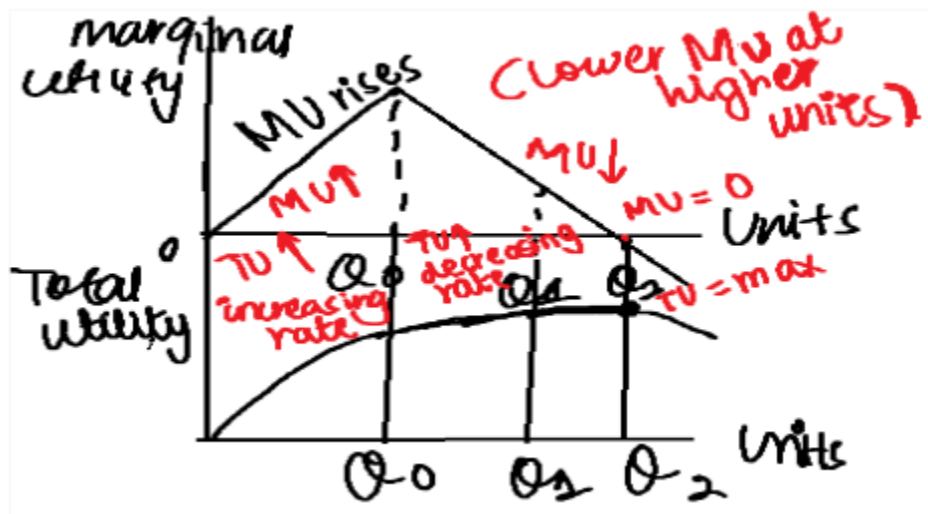
4-D:

An indifference curve represents different combinations of goods that provide the same level of satisfaction or utility to an individual consumer. At all points along an indifference curve, the total utility remains constant. **This is why, a rational consumer is indifferent along the indifference curve.**

Marginal expenditure and total expenditure may be related to budget line. (A and C)

The indifference curve is convex in shape because of decreasing opportunity cost, which occurs as a result of diminishing marginal utility.(B)

5-A:



- A- Since the marginal utility falls or diminishes upon consuming an additional unit, the willingness to pay of the consumer also falls, therefore at lower units consumed (quantity Q_0), the consumer will be willing to pay a higher price as compared to a higher quantity of (Q_1 units). This is why, key A , is correct.
- B- It can be seen in the diagram above that Q_3 represents a quantity whereby the total utility falls, which means that the marginal utility will be negative, and therefore the consumer will not be willing to pay for this quantity.
- C- At the quantity of Q_2 , the total utility is at its maximum, which means that the marginal utility is zero. This represents the lowest price the consumer is willing to pay.

- D- At Q1 , the consumer will be willing to pay a higher price than Q3, because less units are consumed, and so marginal utility is higher at Q1, as compared to Q3, whereby the marginal utility is negative.

6-B:

-> Because of a successful advertising campaign of good Y, the demand for good Y will increase, and since consumers would have allocated more of their budget on the spending of good Y, the quantity demanded or consumed of good X will decline. This means that we are interested in an option that will result in an **“extension in qty demanded of Y”, and a “contraction in qty demanded of X”**

A – This shows a fall in quantity of Y, which is why, this becomes incorrect

B – This is correct because it shows a fall in quantity demanded of X, and a rise in quantity demanded of Y, as mentioned above.

C – This is incorrect because it shows a rise in quantity demanded of both the goods.

D – This is incorrect because it shows a fall in quantity demanded of both the goods, when instead, we are interested in an increase in qty demanded of “Y”

7-A:

A highly contestable industry is characterized by:

- Low barriers to entry and exit
- No significant sunk costs
- No significant cost advantages for incumbent firms
- No legal or regulatory barriers to entry

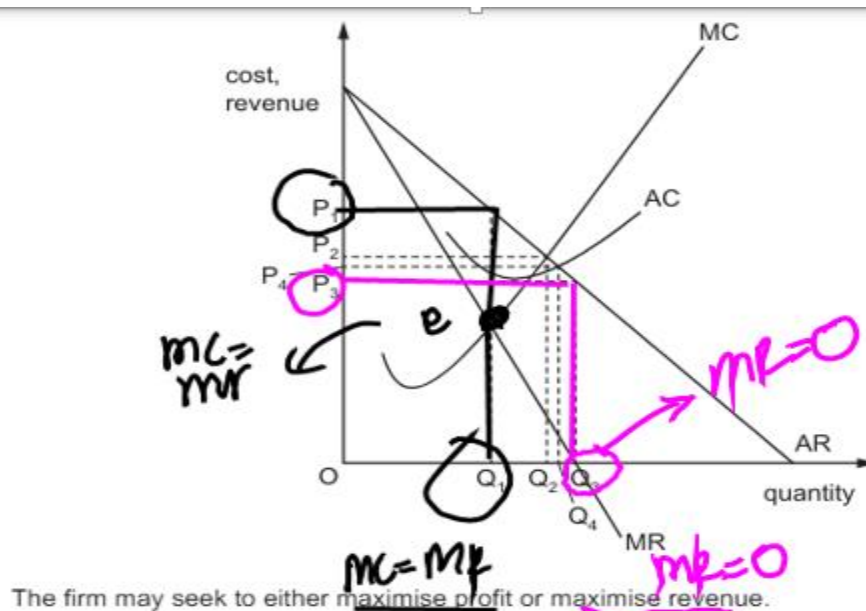
A - In such an industry, firms are unable to sustain abnormal profits (profits above the normal rate of return) because new firms can easily enter the market and compete away any excess profits. This leads to a reduction in abnormal profits.

B. Substantial advertising by existing firms may actually be a barrier to entry, as new firms may struggle to match the marketing efforts of incumbents.

C. Relatively few firms in the industry may indicate existence of strong barriers to entry and exit. Above all, contestability is not linked with the number of firms in the industry.

D. Significant sunk costs incurred by new entrants would actually make the industry less contestable, as firms would be hesitant to enter and exit the market due to the risk of losing their investments.

8-A:



What is the correct price and quantity combination for each?

	maximise profit	maximise revenue
A	Q_1P_1 ✓	Q_3P_3 ✓
B	Q_1P_1 ✓	P_4Q_4
C	Q_2P_2	Q_3P_3
D	Q_2P_2	Q_4P_4

9-C:

The characteristics listed are all consistent with an oligopolistic market structure:

- High advertising expenditures (firms in a non-collusive oligopoly often engage in non-price competition and engage in advertising campaigns to differentiate their products and attract customers)
- High level of uncertainty (firms in an oligopoly are heavily interdependent and must constantly monitor their rivals' actions)
- High start-up costs (barriers to entry are relatively high in oligopoly, making it difficult for new firms to enter the market)
- Concentration of market share among a few large firms (the largest five firms controlling 85% of total sales indicates a high level of concentration, typical of oligopoly)

A. Monopoly: a single firm would control the entire market, which is not the case here.

B. Monopolistic competition: while advertising is a key feature of this market structure, the other characteristics (high start-up costs, high concentration ratio) are not typical of monopolistic competition.

D. Perfect competition: this market structure is characterized by many small firms, free entry and exit, and no advertising or product differentiation, which is not consistent with the listed characteristics.

10-C:

A - This statement is the correct one because a “kinked demand curve” represents the individual firm’s expectations about other firm’s responses to changes in its prices.

-If for example, the firm raises its price, no other firm in the industry will follow, and therefore, this represents “elastic demand”(because, it is the behavior of a firm), and as a result, there is a contraction in quantity demanded by a relatively higher percentage, which results in a “fall in Total Revenue”.

-Importantly, when a firm decreases its price, all other firms in the industry will follow, and therefore, this represents “inelastic demand”(because, it is the behavior of an industry), and as a result, there will be an extension in qty demanded by a relatively smaller percentage, which results in a “fall in Total Revenue” Therefore, prices remain rigid or unchanged at the “kink”

B – This is also the correct statement because the marginal revenue curve has a vertical segment at the market price, or in other words, the “marginal revenue curve is discontinuous”.

C – This statement is incorrect, because of which, this option becomes correct. The kinked demand curve model of oligopoly does not determine how the equilibrium market price is determined. Instead, it only explains why the “equilibrium price is rigid” . This is why, key C, will be correct.

The kinked demand curve model provides insights into the pricing behavior of individual firms in an oligopoly and how they might avoid significant price competition through price stickiness within a certain range of marginal cost.

D - The kinked demand curve model suggests that firms are likely to keep their prices stable within a certain range of marginal costs, inside of the operational range (which represents the range whereby Marginal Revenue is discontinuous), which corresponds to the “price at the kink” .

This is because changes in price outside this range will result in a fall in total revenues.

11-C:

A) Firm X may still be able to benefit from financial economies of scale, such as access to lower-cost capital as banks are willing to offer them lower interest rates and improved credit terms

B) Firm X may still be able to benefit from marketing economies of scale. This is because, the costs of the marketing efforts will be spreaded over a large volume of output that it sells.

C) Firm X may be less able to benefit from risk-bearing economies of scale as risks would not be spreaded across a diverse product portfolio **since it has specialized into a narrow range of products. This explains why key C is correct.**

D- Firm X may still be able to benefit from technical economies of scale. Technical economies of scale refer to the cost advantages that a firm can achieve by introduction of new, efficient technology and specializing in specific processes.

12-D:

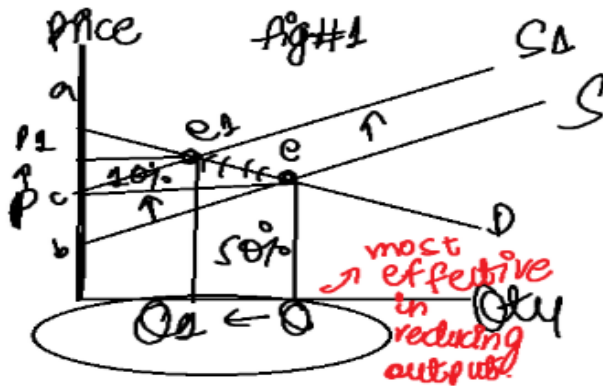
To meet all of the healthcare demands of the population(option A), to provide every patient with the latest and the best available treatment(option B), and to provide free medical treatment(option C) is not practically possible to be achieved by any healthcare system, because of scarcity of resources.

D : Since, there are scarce resources, the aim is to utilize resources efficiently, or in other words, secure the maximum health gain from the resources available.

13-A:

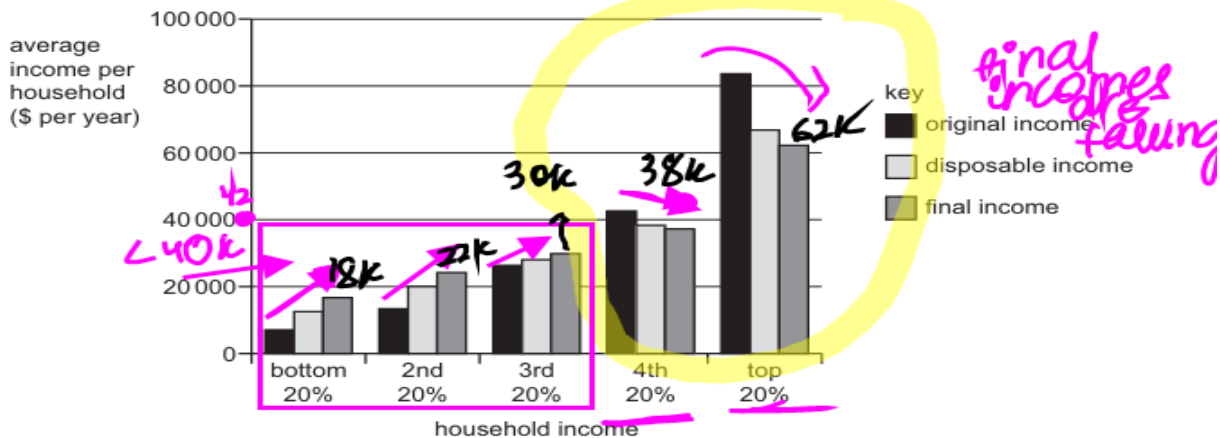
If there is a specific tax imposed, it will be most effective in **reducing the output**, or in other words, **qty demanded**, when **both: the demand and supply are elastic**.

- When **supply is elastic**, producers will be able to pass the greater burden of the tax to the consumers, and therefore, the **prices will rise by a higher percentage**
- Firstly, the prices have risen by a relatively higher percentage, and secondly, when the **demand is elastic**, the **quantity demanded or the output will fall by even a relatively higher percentage**. This means that output will contract by a higher percentage, or in other words, the policy will be **the most effective in reducing output**.
- This can be seen in figure#1, and is the reason why, key A, is correct.



14-A:

- 14 Governments often aim to reduce income inequalities. The diagram shows the effects of using taxation and benefits to try to achieve this aim.



What can be concluded about the effects of taxes and benefits from the diagram?

- A** All income groups are better off except those earning more than 40 000 dollars per year.
- B** Benefits paid to the lower income groups are not a burden because they are not paid out of tax revenues.
- C** The average final income of the top 20% exceeds the combined final incomes of the other groups.
 62k 108k (18+22+30+38) no (opposite)
- D** The progressive taxation system still favours the top 20% over the bottom 20% of households.

Option A is correct because all income groups who are earning less than 40,000\$ per annum are better off since after redistribution, their final incomes are much higher than those who earn more than 40,000 per annum. This explains why key A is correct.

15-D:

- A regulation involves a **rule, law or a limit**.
- Regulations involve **bans on heroin and cocaine in consumption(option A), compulsory wearing of seatbelts in cars and coaches(option B), and licenses for the extraction of water from lakes and rivers(option C)**
- Whereas, taxation on cigarettes and tobacco products (option D) is **not** a “part of regulation”
- This is why, key D, is correct.

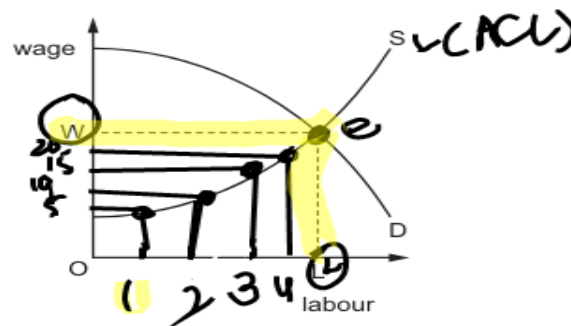
16-A:

Since the government has increased the number of public holidays that workers are entitled to, workers would be more willing to work in this industry, therefore, the supply of labor will increase(the supply curve will shift to the right)

Moreover, this will make the employers less willing to hire workers, which will decrease the demand for labor, or in other words, cause the employers’ demand for labor curve to shift to the left.

17-D:

17 The diagram represents the demand and supply of labour in a competitive industry.



What is true about unit of labour L when they are paid wage W?

- A L is paid only economic rent.
- B L is paid an element of economic rent and transfer earnings.
- C L is paid below transfer earnings and leaves the industry.
- D L is paid exactly transfer earnings and remains in work.**

Each point on the supply of labor curve or Average cost of labor curve represents the amount that each unit of worker would be willing to work at.

For example, unit 1 is willing to work at \$5, unit 2 is willing to work at \$10, unit 3 is willing to work at \$15, unit 4 is willing to work at \$20 as can be seen above.

Similarly, **unit L** is willing to work at wage of **W**. **And since he is exactly paid the amount he is willing to work at, he will only be receiving “transfer earnings”**.

This explains why only key D is correct.

18-A:

A) This combination is typically associated with developing countries, which often struggle with limited access to healthcare, sanitation, and other basic services, leading to higher mortality rates. Additionally, developing countries often have lower levels of productivity due to limited technological development, infrastructure, and education.

B) This combination is typically associated with developed countries, who have strong economies (high GDP) and good healthcare systems (low infant mortality). Developed countries tend to have higher levels of GDP per capita and better health outcomes, including lower infant mortality rates.

C) Although primary industries (such as agriculture or mining) are often a larger share of the economy in developing countries, but since developing countries have high birth rates, this option becomes incorrect.

D) This combination is not typically associated with developing countries. This is because unlike developing countries, developed countries tend to have large tertiary sectors (services, finance, etc.)

19-B:

A – A long term increase in the actual output of the economy represents growth arising from an increase in Aggregate demand, which is not necessarily “sustainable”

B - Sustainable economic development is defined as a development model that meets the needs of the present without compromising the ability of future generations to meet their own needs. It balances economic growth with social and environmental considerations. This is why, it is associated with a long term increase in living standards without damage to the environment.

C – A long term increase in productive capacity represents long-term potential growth which may not be sustainable.

D – When each member of the society gets to benefit from growth, this represents **inclusive growth**.

20-D:

A: France and UK did not experience the same trends in unemployment. This is because the total unemployment percentage increased in France whereas it decreased in the UK.

B : Based on this data in percentage, we cannot comment about total number of unemployed people in both the countries.

C : Nowhere can we see that both countries used different definitions of unemployment.

D: Since the UK experienced a fall in total unemployment percentage as compared to France, it can be said that it was more successful than France in controlling unemployment.

21-C:

A,B: A decrease in the power of economy's trade unions(option B) is most likely to lead to a decrease in the economy's national minimum wage(option A), because of which, costs of production are likely to fall and so cost push inflation will not occur.

D: An increase in net immigration will lead to a surplus of labor in the domestic labor market, which will bring about a downward pressure on the wage rate, as a result of which, cost push inflation is less likely to occur.

C : An increase in the level of benefits paid to unemployed workers will increase the purchasing powers of the unemployed, as a result of which, their consumption expenditure will rise, which will translate into an increase in Aggregate demand. And when Aggregate demand outpaces Aggregate supply, there will be shortages that will result in an upward pressure on prices, subsequently leading to demand pull inflation. This is why, this becomes correct.

22-B:

B) In the Keynesian model, interest rates do not automatically adjust to equalize planned savings and investment. Instead, the model assumes that interest rates are determined by the money market **where money demand (liquidity preference) and money supply intersect. This explains Keynesian liquidity preference theory.**

The other options are all assumptions made in the Keynesian model:

A) An increase in aggregate demand can increase real national income (the Keynesian multiplier effect).

C) Investment does depend on the expectations of entrepreneurs. In the Keynesian model, investment is not solely determined by interest rates or other objective factors, but also by the subjective expectations and confidence of entrepreneurs and businesses.

D) Planned consumption is a function of national income (the consumption function is a Keynesian function)

23-D:

The quote suggests that if people are incentivized not to work (through payments or benefits) and penalized for working (through taxes), they may choose not to work, leading to Voluntary Unemployment.

Voluntary Unemployment: Unemployment that occurs when individuals choose not to work at the current wage rate due to less difference between employment benefits and their take home pay if they were employed

A) Cyclical Unemployment: Unemployment that occurs due to economic downturns or business cycles. This type of unemployment is caused by a decrease in aggregate demand, leading to layoffs and job losses across a wide range of industries.

B) Frictional Unemployment: Unemployment that occurs when workers are unemployed in between jobs. This is a part of natural rate of employment and includes: search, seasonal and casual unemployment mainly.

C) Structural Unemployment: Unemployment that occurs due to changes in the structure of the economy when the pattern of demand and supply changes. This mainly arises when workers are occupationally and geographically immobile.

24-D:

D - Serbia's external debt as a percentage of GNI increased from 85.4% to 88.8% between 2010 and 2015, which is the smallest change among the four countries.

Therefore, the burden of external debt changed least in Serbia.

A) Not all countries borrowed more money externally in 2015 than in 2010. Bulgaria's external debt actually decreased as a percentage of GNI.

B) External borrowing grew faster than GNI in India, as the percentage of external debt to GNI increased from 17.2% to 23.4%.

C) We cannot say which country borrowed most of the money externally as we only have information about external debt as a percentage of gni.

25-A:

$$\begin{aligned} \text{Real GDP/Capita \%} & \Rightarrow \text{GDP growth \%} - \text{Population growth \%} - \text{Rate of inflation \%} \\ & \hookrightarrow 5.7 - 2.0 - 3.8 \\ & \hookrightarrow -0.1\% \approx \textcircled{0\%} \rightarrow \text{approximate rate of growth of real GDP/capita} \end{aligned}$$

26-B:

$$\begin{aligned}
 & \star C + I + G + (X - M) = Y \quad \text{we introduced this} \\
 & \star C + I + G + (X - M) = \boxed{C + S + T + M} \\
 & \quad \quad \quad \uparrow \quad \quad \quad \uparrow \quad \quad \quad \downarrow \\
 & \quad \quad \quad \text{shift that } M \text{ upwards right} \quad \text{we need } C \text{ to cancel the } C \text{ on the left side} \quad \text{M was already a part of equation} \\
 & \star \cancel{C} + I + G + \cancel{X} = \cancel{C} + S + T + M \\
 & \quad \quad \quad \underline{I + G + X} = \underline{S + T + M} \\
 & \quad \quad \quad \text{"J"} \quad \quad \quad \text{"W"}
 \end{aligned}$$

27-D:

A – A decrease in liquidity preference or money demand will cause the interest rates to fall.

B – A decrease in the level of national income will bring about a fall in the transactionary demand for money, and when liquidity preference falls relative to money supply, the interest rates will fall.

C – A decrease in the rate of investment will bring about a fall in the demand for loans, as a result of which, the interest rate will fall.

D – A decrease in money supply relative to money demand will bring about a shortage of money in the money market, which will put an upward pressure on interest rate that represents the price of money.

28-D:

A – Since the government is increasing its public spending, this represents that the budget deficit is most likely to increase.

B – We cannot deduce what will happen to the current account deficit with this information.

C – When a government increases its spending, it is most likely to increase the money supply. But when it finances its deficit by borrowing from the non-bank private sector by selling bonds, the money supply decreases. This represents that the overall money supply is likely to remain unchanged.

D – By selling securities to the non-bank private sector, the government involves itself in long-term borrowing from the general public. This will lead to an increase in the national debt, thus making this option correct.

29-D:

Options A and B are similar in a sense that both of them represent a fixed exchange rate. With a fixed exchange rate, a central bank is limited in its ability to adjust interest rates, because it has to maintain the value of the domestic currency. Let's say the central bank has chosen to artificially revalue its currency, now in face of deflation, it will not have autonomy to lower its interest rates, because it will lead to an immediate impact on the exchange rate, as its value can fall because of hot money outflows. This is why, this is incorrect.

Therefore, that being said, it will only be in a floating exchange rate regime(option D), that a central bank can exert close control over its monetary policy, since it has an autonomy and more flexibility to adjust interest rates, thus making it correct.

In a monetary union (option C), the central bank cannot set a single interest rate for all of the member countries. This is because each country has its own economic conditions. This is because, in such a union, all countries share the same monetary policy, an example of which, is the Eurozone. This is why, this is incorrect too.

30-C:

A – An increase in unemployment represents that the purchasing power of individuals will fall, as a result of which, the transactionary demand of money will fall, that further leads to a fall in the interest rates.

B – This even results in a fall in import demand and subsequently import expenditures, because of which, the existing deficits might decrease.

C – An increase in unemployment will lead to a rise in government spending on unemployment benefits that will result in an increase in budget deficit. This explains why option C becomes correct.

D – An increase in unemployment will result in a fall in consumption expenditure and so, Aggregate demand will decrease. This will subsequently result in a reduction in demand-pull inflation.

